



SYLLABUS FOR MGMP 543: CORE FINANCE

Spring 2025 Sections 001 (Mondays) and 002 (Wednesdays)

(This version: 14 February 2025)

Course Changes:

This syllabus is a guideline for the course. I will do my best to conduct the course according to the schedule and policies outlined in this syllabus. I reserve the right to adjust the course (e.g., schedule, assignments, etc.) as we proceed as I see fit. Please refer to Canvas for the latest syllabus and any course changes.

Teaching Team:

Professor Benedict Guttman-Kenney

E-mail: benedictgk@rice.edu (please re-send if you do not hear from me in 24 hours)

Teaching Assistant: Reese Alexander

Email: reese.r.alexander@rice.edu

Faculty Support Specialist: Luis Leyva

Email: luis.leyva@rice.edu

Phone: 713-348-5326

Classes:

Section 001 (002) meets Mondays (Wednesdays) at 6.15pm – 9.30pm in McNair Hall 212.

Office Hours:

Sundays 4-5pm CT (Reese) & Thursdays 5-6pm CT (Benedict). See Canvas for zoom link and any changes.

Please email questions in advance of office hours.

Objective:

This course introduces the core theory and practice “corporate finance” – how firms raise and invest capital. At the end of this you should understand the main financial decisions facing firms, how these financial decisions are related, and how to make such financial decisions.

Canvas:

All materials for this course will be available via Canvas. This should be your first stop if you are looking for information.

How to succeed in this course in three easy steps (which inevitably leads to getting a good grade).

1. Read the textbook chapter carefully BEFORE class (1-3 hours).
2. Come to class (on time).
3. Immediately (within 48 hours) do any take home “quizzes” and homework problems (1-3 hours).

Textbook (“RWJJ”):

The text for this class is *Corporate Finance*. Stephen A. Ross, Randolph W. Westerfield, Jeffrey Jaffe, and Bradford Jordan. McGraw-Hill/Irwin, 12th Edition.

Course Outline:

Lecture notes for each week will be available on Canvas the Sunday prior to the class meeting.

Week	Topics	Textbook Chapters
1 (17, 19 February)	Time Value of Money	4
2 (24, 26 February)	Capital Budgeting Tools, Bonds	5, 8
3 (3, 5 March)	Equities	9
4 (10, 12 March)	Statistics, Risk and Return, Portfolio Theory	11
5 (17, 19 March)	CAPM	10, 11
6 (24, 26 March)	Beta Management (Case), Course Review Midterm released after your section's class finishes. Exam must be completed by: 6:00pm Monday 31 March for Section 001 / 6:00pm Wednesday 2 April for Section 002.	-
7 (31 March, 2 April)	Efficient Markets, Behavioral Finance	14
8 (7, 9 April)	Financing and Capital Structure, MM Theory	16, 17
9 (14, 16 April)	Boeing 7E7 (Case), Discounted & Free Cash Flows	-
10 (21, 23 April)	Options	22
11 (28, 30 April)	Consumer Finance, Special Topics	-
12 (5, 7 May)	Course Review Final released after your section's class finishes. Exam must be completed by: 10pm Monday 12 May for Section 001 / 10pm Wednesday 14 May for Section 002.	-

Grades:

Graded Assignments	Weight
Midterm Exam	30%
Final Exam	30%
Case Write-up	15%
Quizzes	10%
Participation	15%
Total	100%

Grading Policy:

- Late assignments are **never** accepted for credit **unless** both (i) there are extenuating circumstances, and (ii) I have granted permission **prior to the due date**.
- The dates of the midterm and final are scheduled, please plan around them. If you do not submit both the midterm exam and the final exam, you will fail the course.

Re-Grading Policy:

1. Participation grades are discretionary and are therefore not subject to appeal. Partial credit for incorrect answers on graded assignments is given solely at my discretion and are therefore not subject to appeal. Re-grading requests made eight days after an assignment was returned to you cannot be appealed.
2. If you decide to request a re-grade, please make a detailed request for a grade revision in writing within seven days of the assignment being returned to you. Carefully explain why you believe the grade is in error. Please submit a request to my Faculty Support Specialist. Requests for re-grades will result in the re-grading of the entire assignment/exam, not just the question(s) at issue. Please note I am probably, on average, a stricter grader than my teaching assistant when offering partial credit for wrong answers. Your grade may therefore be significantly lower after re-grading.

Participation:

You are expected to be on time and seated when class starts. Late arrivals disrupt class, and this will be reflected heavily in your participation grade. **If possible, wait for breaks or the end of class to leave to minimize disruptions.**

Class participation is a fundamental part of this course. You should read the assigned chapters before coming to the lectures. **You should be prepared to answer cold calls. Please always display your name placard with your preferred name.** Your participation grade reflects the whole semester's work, and your grade will not vary if you miss one or two sessions due to illness. Participation grades are primarily based on participation in class, however, productive participation in canvas discussion boards may also be rewarded. Participation grades are not returned to students.

Quizzes:

There will be a take-home "quiz" associated with many class sessions. They are meant to be a quick and easy way to consolidate at least one concept from the lecture. I will drop your lowest quiz grade.

Honor Code:

You are expected to always follow the letter and the spirit of the Rice honor code in all your actions throughout the course. You are required to agree to follow the honor pledge on all graded assignments. You may not receive or give any assistance on graded assignments that are outside of the parameters defined explicitly by the course assignments. You may never use or possess any material from past years (quizzes, case reports, problem sets, lecture notes, exams, etc.). Any student who assists you is also in violation. All work in the course is to be completed individually unless otherwise *explicitly* indicated in the assignment instructions. You may not distribute your own notes or class materials to anyone else. On all open book/note exams you are permitted to use any textbook, your own notes, and any materials posted to this course's Canvas page – no other materials are allowed. If any aspect of the honor code is unclear to you at any time it is your responsibility to determine whether your actions are consistent with the honor code.

Attendance Policy:

You are expected to attend all class sessions. Students should **not** come to class if they are sick. The grading rubric has accounted for the fact that students may need to miss one or two sessions over the course of the semester for illness, recruiting, or any host of other important events. It is the policy of the Jones School that if you miss more than two sessions, your grade will be reduced by one third of a full letter grade per excess absence on a 4.0 grading scale (e.g., from an A to an A-) and these grade reductions are in addition to potential class contribution losses associated with missing a class.

Audio and Video Recording:

Students may not record audio or video in class under any circumstances.

Cell Phone Classroom Policy:

It is the policy of the Jones School for students to turn their cell phones off during class. Obviously, if something serious is up, talk with me prior to class and keep your cell phone on “vibrate.”

Laptop Classroom Policy:

It is my policy (and that of the Jones School) for students to place their laptop in the closed position while class is in session. You may use an electronic tablet to take notes provided it is lying flat on desk and its use is restricted to annotating notes (i.e., no email, Slack, etc.).

Artificial Intelligence (AI) Policy:

The abilities of AI tools such as ChatGPT are rapidly developing. AI tools can assist learning, but they also commonly make basic mistakes. You may use AI tools if it helps you to review concepts learnt in class. AI tools must not be used for any graded assignments (e.g., quizzes, cases, midterm or final exams).

Disability Based Accommodations:

Any student with a documented disability needing academic adjustments or accommodations is requested to notify me within the first two weeks of class. Students with disabilities should also contact Disability Resource Center in the Allen Center (<https://drc.rice.edu>). All accommodations and adjustments for assignments and exams must be made prior to the graded assignment's deadline.

Religious Accommodations:

Any student that requires accommodation for the observance of religious holidays should coordinate dates with me during the first week of class. Any accommodations or adjustments for assignments must take place prior to the deadline or due date for that assignment.